

Siemens/Schneider/ABB

China automation: Another quarter of share pressure for Western OEMs

Discrete automation supported growth of suppliers, particularly in AI/DC/battery-related verticals; meanwhile European OEMs saw another Q of tough competition in key products like PLC. SIE grew sales slightly slower than others, while SU likely backed by end-market exposures.

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2Q26 China automation market supported by accelerating discrete. According to MIR Databank, the overall industrial automation market in China was largely flattish, up 0.2% YoY (vs +2.7% in 1Q) and -4.6% QoQ. Meanwhile, discrete automaton accelerated the growth to +8.0% YoY (vs +7.4% in 1Q), which is likely the key driver for the decent automation business growth in 2Q for players like SU / RXL; while process continued to underperform at -4.4% YoY in 2Q (vs flattish YoY in 1Q). Key drivers for the growth in discrete include: 1) continued strength in certain high-tech end markets, such as batteries, semis, electronics and industrial robotics; 2) price increases in 2Q in some product categories like PLC and LV VFD resulting in pre-buy orders and possibly some inventory accumulations at distributors.

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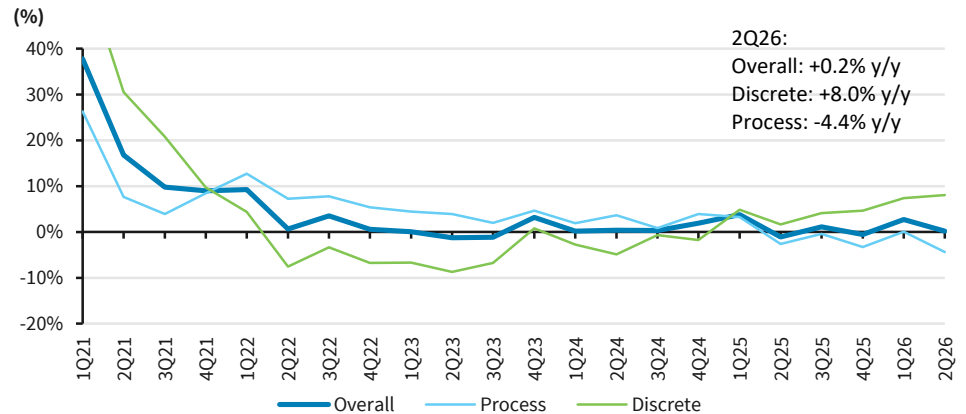
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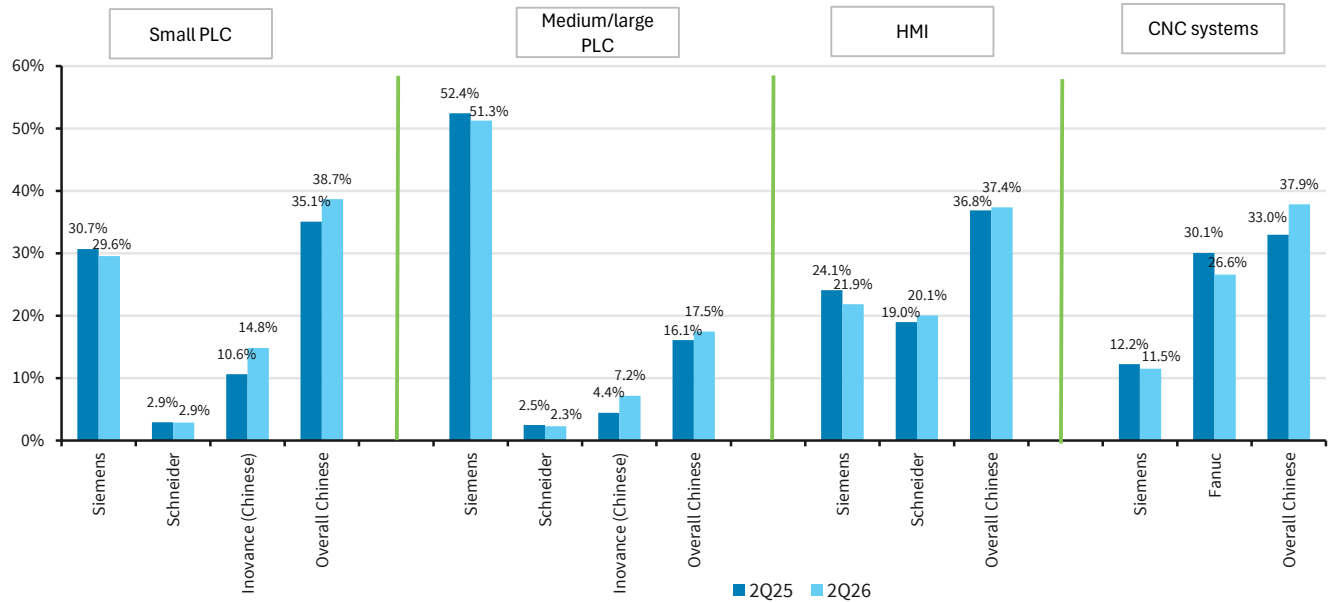
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FIGURE 1. China automation component market – quarterly YoY change

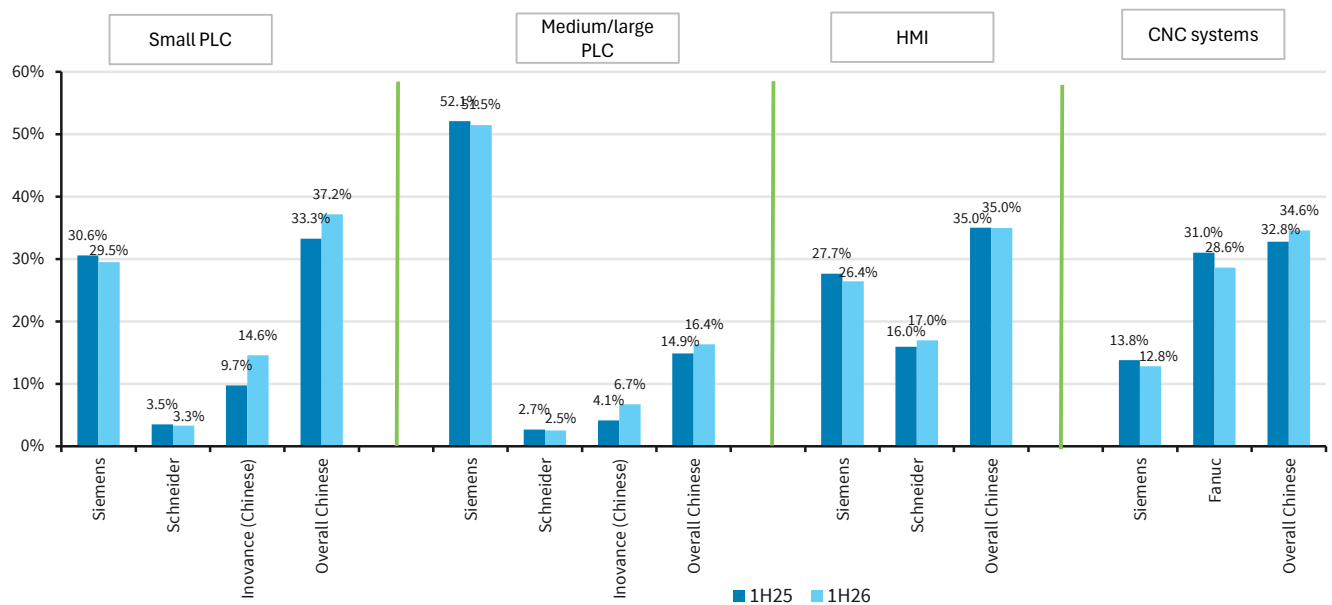
Source: MIR Databank, Barclays Research

Market share data showed domestic substitution continues. This is in line with comments on the ground from our previous trip in China (see [On The Road: China trip takeaways – 'K-shaped' trajectory](#)). We continue to see market share moving in favour of domestic producers in 2Q26 vs 2Q25 or 1H26 vs 1H25, for all major products in controlling level, based on MIR data. For instance, SIE's market share moderated c.1.1ppt for small PLC, c.1.1ppt for medium/large PLC, c.2.2ppt for HMI, and c.0.7ppt for CNC systems, in 2Q26 vs 2Q25. For these categories, domestic Chinese players logged market share gains of c.0.5ppt to c.5ppt. For instance, domestic automation product leader Inovance (not covered) gained c.4.2ppt market share in small PLC, and c.2.7ppt in medium/large PLC, the major products for SIE in China; and domestic Chinese players gained c.4.9ppt market shares in CNC systems in the quarter. We estimate PLC and CNC systems may account for c.40% and 10% of SIE's automation hardware sales in China, respectively. On the other hand, SU logged a c.0.2ppt share loss in medium/large PLC, but a c.1.1ppt increase in shares in HMI.

End market exposures would be a key reason for the market share developments, for instance, in PLC Chinese (and some Japanese) players won in end markets like electronics, semi, battery, logistics, solar and packaging; while European players were defending themselves in end markets like automotive and F&B via localization strategies, plus some help from AI infrastructure.

FIGURE 2. 2Q26 domestic market shares of key automation products – control-level products

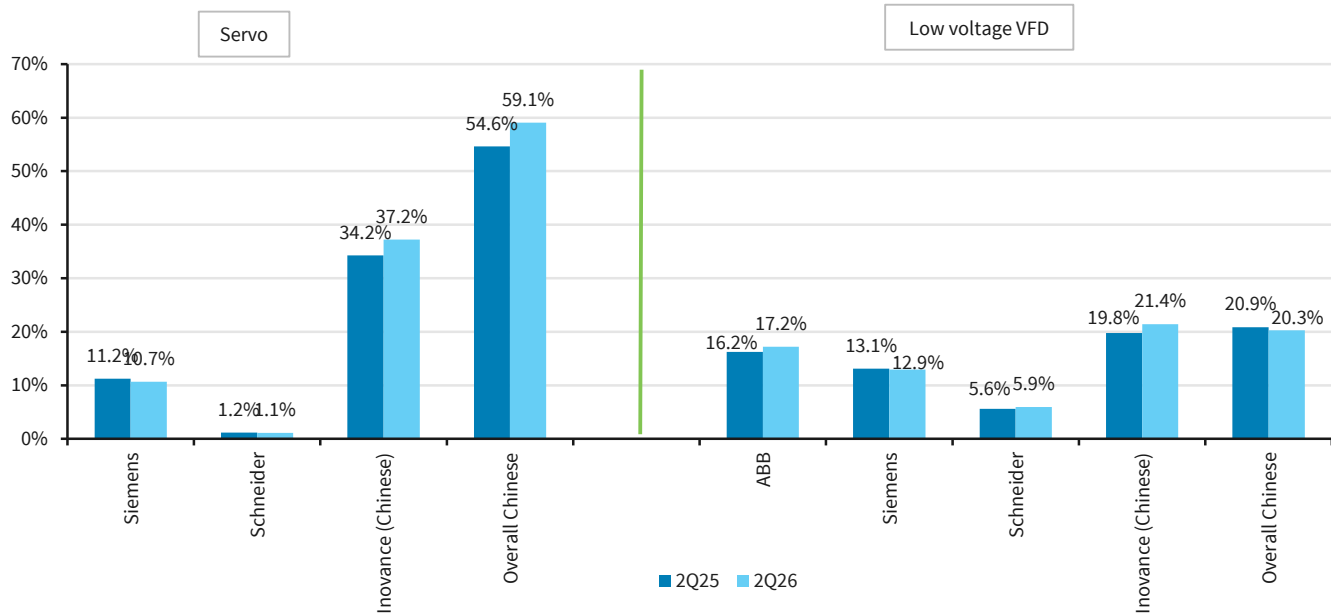
Source: MIR Databank

FIGURE 3. 1H26 domestic market shares of key automation products – control-level products

Source: MIR Databank

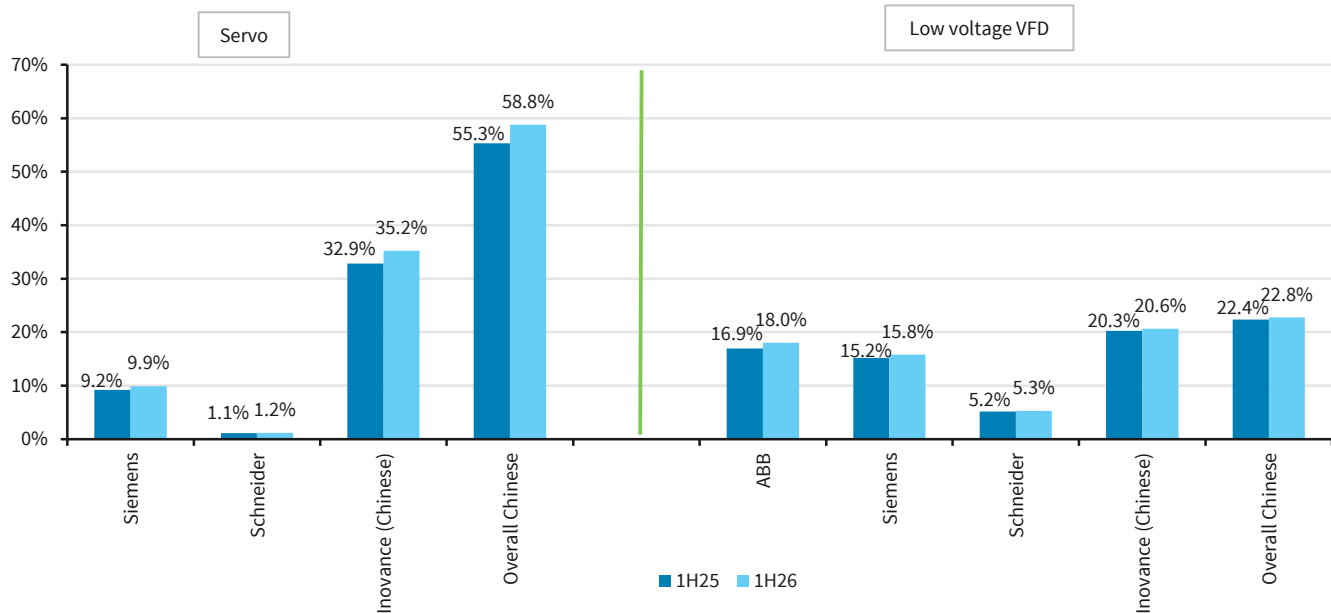
For motion-level products, after gaining some share in 1Q, we observed a reverse trend on SIE's shares - they lost c.0.6ppt share in servos, and c.0.2ppt share in LV VFD, in 2Q26, despite still some share gain for the whole 1H26 vs 1H25. Meanwhile, ABB managed to gain c.1ppt share in LV VFD in 2Q, and SU gained c.0.3ppt in LV VFD despite a c.0.1ppt loss in servo. Domestic Chinese players gained c.4.5ppt share in servo in 2Q, despite a c.0.6ppt share loss in LV VFD (but still some share gain in 1H26).

FIGURE 4. 2Q26 domestic market share of key automation products – motion-level products/robotics



Source: MIR Databank

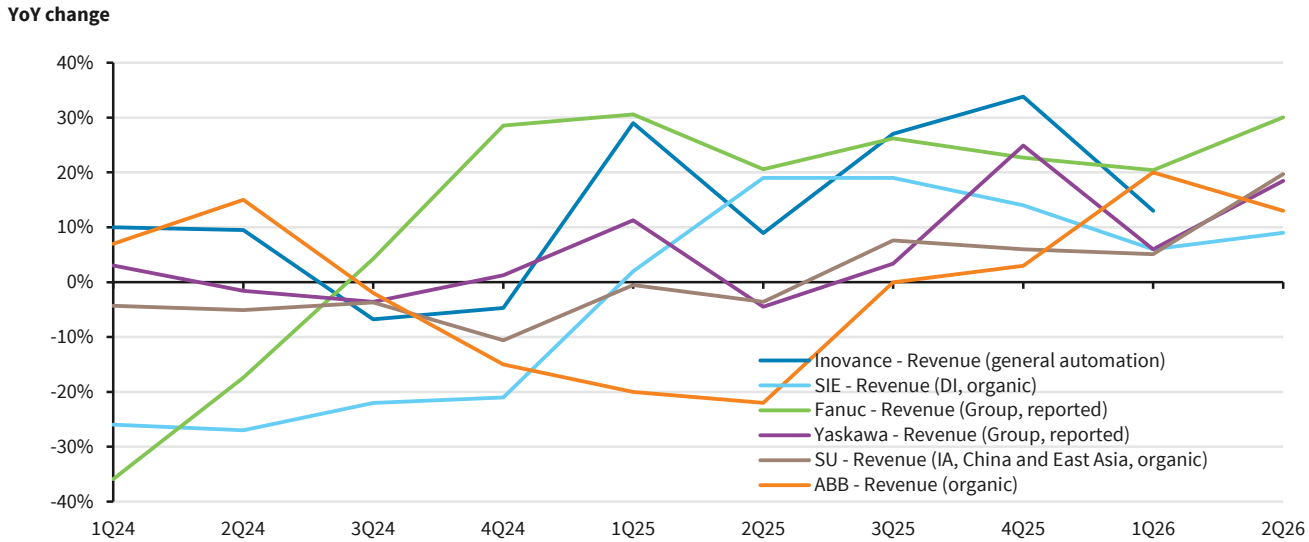
FIGURE 5. 1H26 domestic market share of key automation products – motion-level products/robotics



Source: MIR Databank

The market share developments together with the end market exposures could be a reason for players like SIE experiencing slightly slower growth 2Q, compared to some other OEMs.

FIGURE 6. Revenue growth of selected automation players in China



Source: Company data, Bloomberg

We continue to expect a “K-shaped” trajectory on demand development in China automation, with AI/DC driven end markets maintaining the strong momentum while traditional sectors remain subdued, and domestic substitutions continue. Impact from any channel destocking from pre-buys will also be worth watching. We stay UW on SIE on its relatively apparent market share loss in key segments like PLC and less favourable end market exposures (more autos, less semi/electronics); and we stay EW on ABB on the still-subdued process automation and relatively rich valuation. SU (OW) remains our preferred name given better end market exposures (including DC) and operational improvement that we believe is yet to be fully captured in valuation.

Analyst(s) Certification(s):

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Schneider Electric (SCHN.PA, 06-Aug-2026, EUR 300.60), Overweight/Neutral, A/CD/D/J/K/L/M/N

Siemens AG (SIEGn.DE, 06-Aug-2026, EUR 273.10), Underweight/Neutral, D/E/J/K/L/M/N

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Atlas Copco AB (ATCOa.ST)

AutoStore (AUTO.OL)

Beijer Ref (BEIJb.ST)

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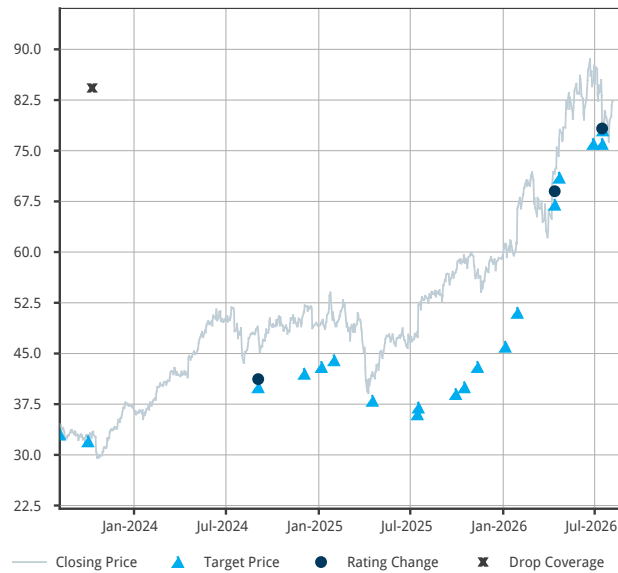
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Source: LSEG Data & Analytics, Bloomberg, Barclays Research

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17-Jul-2026	78.26		78.00	CHF
16-Jul-2026	83.18	Equal Weight	76.00	CHF
28-Jun-2026	84.52		76.00	CHF
22-Apr-2026	74.20		71.00	CHF
13-Apr-2026	71.84	Equal Weight	67.00	CHF
29-Jan-2026	66.38		51.00	CHF
05-Jan-2026	59.22		46.00	CHF
11-Nov-2025	56.82		43.00	CHF
16-Oct-2025	59.56		40.00	CHF
29-Sep-2025	56.72		39.00	CHF
17-Jul-2025	52.10		37.00	CHF
15-Jul-2025	47.54		36.00	CHF
17-Apr-2025	42.20		38.00	CHF
31-Jan-2025	51.08		44.00	CHF
06-Jan-2025	49.07		43.00	CHF
03-Dec-2024	51.02		42.00	CHF
03-Sep-2024	48.97	Underweight	40.00	CHF
03-Oct-2023	32.95	Coverage Dropped		CHF
02-Oct-2023	32.95		32.00	CHF

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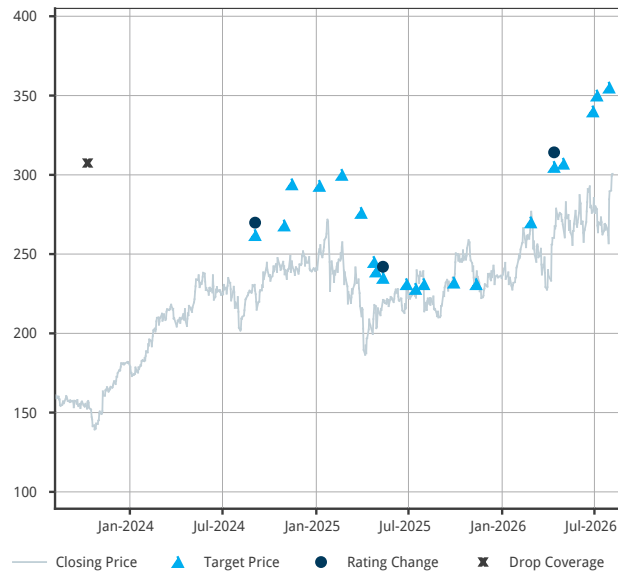
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Risks which May Impede the Achievement of the Barclays Research Valuation and Price Target: Key risks to our thesis: from an earnings perspective, there could be upside risks to our expectations principally on 1) a short-cycle rebound, 2) further strength in process automation markets, and 3) demand remaining > supply in MV electrical equipment. ABB could also maintain its premium valuation on the basis of late-cycle visibility in the event of stronger-than-expected demand in Process Automation and Electrification. Downside risks included poorly executed M&A, hyperscaler capex cuts and significant reduction in MV pricing power.

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Source: LSEG Data & Analytics, Bloomberg, Barclays Research

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30-Jul-2026	256.80		355.00	EUR
06-Jul-2026	280.10		350.00	EUR
28-Jun-2026	276.05		340.00	EUR
01-May-2026	271.55		307.00	EUR
13-Apr-2026	260.20	Overweight	305.00	EUR
26-Feb-2026	272.90		270.00	EUR
11-Nov-2025	233.45		231.00	EUR
28-Sep-2025	235.25		232.00	EUR
31-Jul-2025	239.20		231.00	EUR
15-Jul-2025	225.20		228.00	EUR
27-Jun-2025	216.05		231.00	EUR
12-May-2025	214.80	Equal Weight	235.00	EUR
28-Apr-2025	217.10		239.00	EUR
24-Apr-2025	208.95		245.00	EUR
30-Mar-2025	217.15		276.00	EUR
20-Feb-2025	247.20		300.00	EUR
07-Jan-2025	240.20		293.00	EUR
14-Nov-2024	238.65		294.00	EUR
30-Oct-2024	240.85		268.00	EUR
03-Sep-2024	230.60	Overweight	262.00	EUR
03-Oct-2023	154.78	Coverage Dropped		EUR

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Valuation Methodology: We expect Schneider to deliver >2x growth of the average electricals peer and the European Capital Goods sector average, with adj. EBITA margins >400bps higher than the latter. This margin level is similar to "quality" industrials, and, combined with a top-quartile FCF margin, we think these factors justify Schneider trading close to the average of the "quality" industrials, specifically, at a c55% premium to the overall sector (13x) on 2027e EV/EBITA. Based on these numbers we derive our PT.

Risks which May Impede the Achievement of the Barclays Research Valuation and Price Target: Key risks to our thesis include 1) broad-based macroeconomic weakness, 2) weaker than we anticipate data center market demand and/or delays to data center rollout, 3) operational issues with new facilities leading to lower utilisation/cost overruns, and 4) ineffective new product launches in impacting growth and leadership positions in key markets (e.g., data center). These could combine with factors such as strategic missteps or poorly executed M&A to place downward pressure on valuation.

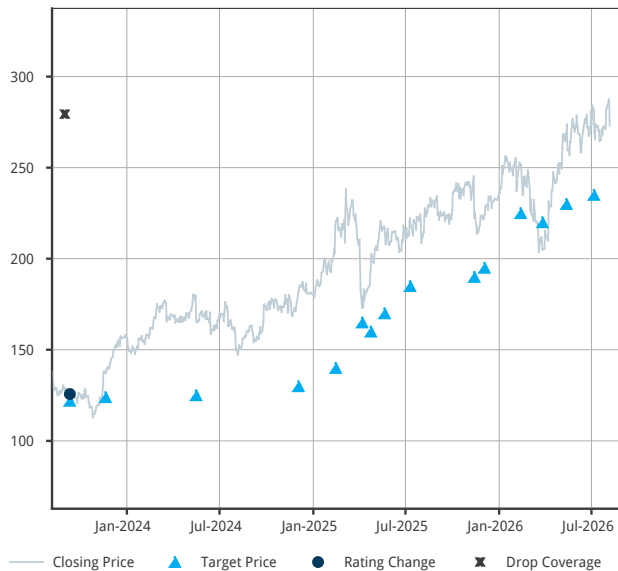
Siemens AG (SIE GY / SIEGn.DE)

Stock Rating: **UNDERWEIGHT**

Industry View: **NEUTRAL**

Closing Price: **EUR 273.10** (06-Aug-2026)

Rating and Price Target Chart (as of 06-Aug-2026)



Source: LSEG Data & Analytics, Bloomberg, Barclays Research

[Link to Barclays Live for interactive charting](#)

Publication Date	Closing Price*	Rating	Adjusted Price Target	Currency
06-Jul-2026	276.90		235.00	EUR
13-May-2026	264.60		230.00	EUR
27-Mar-2026	211.80		220.00	EUR
12-Feb-2026	257.00		225.00	EUR
03-Dec-2025	227.30		195.00	EUR
13-Nov-2025	227.00		190.00	EUR
10-Jul-2025	218.35		185.00	EUR
21-May-2025	222.25		170.00	EUR
24-Apr-2025	196.50		160.00	EUR
07-Apr-2025	197.48		165.00	EUR
14-Feb-2025	227.45		140.00	EUR
03-Dec-2024	188.12		130.00	EUR
16-May-2024	187.70		125.00	EUR
20-Nov-2023	148.46		124.00	EUR
11-Sep-2023	137.12	Underweight	122.00	EUR
25-Aug-2023	136.40	Coverage Dropped		EUR

On 07-Aug-2023, prior to any intra-day change that may have been published, the rating for this security was Underweight, and the adjusted price target was 130.00 EUR.

Source: Bloomberg, Barclays Research

*This is the closing price referenced in the publication, which may not be the last available closing price at the time of publication.

Historical stock prices and price targets may have been adjusted for stock splits and dividends.

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Valuation Methodology: Our price target is based on DCF (WACC of 7.5% and terminal growth rate of 3.0%)

Risks which May Impede the Achievement of the Barclays Research Valuation and Price Target: Risks to our price target include: 1) strong recovery in PMIs; 2) sustained margins in DI and SI and quick SaaS transition; 3) further portfolio actions – specifically, structure around Mobility, Healthineers or SFS.

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